Airlines

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MARKET SIZE

WORLD

US $1,008 Bn

2025

Global airline industry

link

INDIA

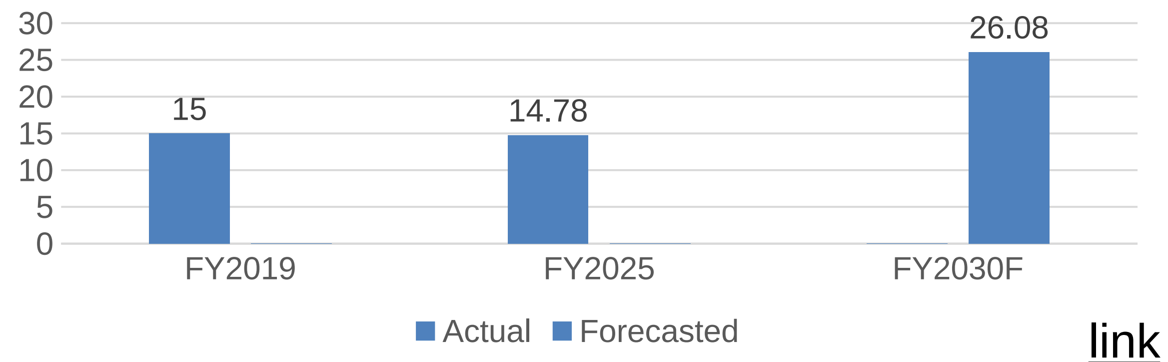
US $14.78 Bn

2025

Commercial aviation

link

India Aviation Market Size
(FY2019-FY2030F) (USD Billion)



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An ~12% CAGR is expected from FY2025 - FY2030F in India's aviation market

KEY PLAYERS

IndiGo, AIR INDIA, Akasa Air, SpiceJet

MARKET PROJECTIONS

- **India's aviation market is valued at ~US$14.78 billion in 2025 and is projected to reach ~US$26–29 billion by FY2030–31, growing at approximately 12% CAGR. link**
- **India is the world's third-largest domestic aviation market by passenger traffic, behind only the US and China, with domestic traffic reaching 164 million in 2024 (95% of the 2019 level). link**
- **IndiGo commands a record ~66.3% domestic market share as of June 2026; Air India Group holds ~26.8% and Akasa Air ~6.4%, per DGCA data. link**
- **India's operational airport count has more than doubled, from 74 in 2014 to 163 by October 2025, easing slot congestion at major hubs. link**
- **Global airline industry revenue is set to cross US$1 trillion for the first time in 2025, reaching ~US$1.053 trillion in 2026 (+4.5%), with record load factors of 83.8%. link**
- **Aviation contributes ~US$53.6 billion to India's GDP and supports 7.7 million jobs, spanning direct employment, supply chains, and tourism. link**

AIRLINE SUB-SEGMENTS

Full-Service Carriers (FSC)

(Bundled fares incl. checked baggage, meals & premium cabins; hub-and-spoke networks targeting business and international travelers — e.g., Air India, Emirates, Lufthansa)

- **Premium Cabins** — Business & First Class
- **Global Networks** — Hub-and-Spoke Routes
- **Bundled Fares** — Meals & Baggage Incl.

Low-Cost Carriers (LCC)

(Unbundled, no-frills pricing with ancillary-revenue focus; high aircraft utilization, point-to-point domestic networks — e.g., IndiGo, Akasa Air, Ryanair, Southwest)

- **Point-to-Point** — Direct Domestic Routes
- **High Utilization** — Faster Turnarounds
- **Ancillary Revenue** — Seats, Bags, Fees

link

VALUE CHAIN ANALYSIS

Aircraft Procurement	MRO	Ground Operations	Flight Operations	Distribution & Ticketing	Ancillary Revenue, Loyalty	Customer Experience
Purchase or lease aircraft from OEMs (Boeing, Airbus) or lessors (AerCap, Avolon)	Maintenance, repair, overhaul & airworthiness compliance is in-house or outsourced	Check-in, baggage handling, ramp services, airport slot management	Crew scheduling, route planning, fuel management, in-flight service delivery	Direct booking (web/app), GDS, OTAs (MakeMyTrip, Skyscanner), travel agents	Baggage fees, seat selection, co-branded cards, frequent-flyer programs	Complaint resolution, refunds, loyalty redemption, brand/NPS management

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PORTER'S 5 FORCES ANALYSIS

Threat of New Entrants

LOW

- Extremely high capital requirements and aircraft/slot scarcity at major airports limit entry
- India's regulator has still cleared 3 new domestic carriers (2025-26) to reduce market concentration

Bargaining Power of Buyers

HIGH

- Passengers face low switching costs and high price transparency via OTAs/fare-comparison sites
- Corporate travel accounts negotiate volume discounts, adding further buyer leverage

Bargaining Power of Suppliers

HIGH

- Aircraft manufacturing is a global duopoly (Boeing, Airbus) with multi-year order backlogs
- Fuel (ATF) suppliers and airports (slot allocation) hold concentrated leverage over cost structures

Threat of Substitute Products

MODERATE

- High-speed rail and improving road/rail infrastructure offer substitution on shorter domestic routes
- Video conferencing reduces the necessity of some business travel, though impact remains limited

Competitive Rivalry

HIGH

- India's domestic market is highly concentrated (IndiGo ~66% share); global markets remain fragmented
- Intense price competition, especially among LCCs, keeps industry margins structurally thin

VALUATION

- **Airlines are typically valued using** EV/EBITDAR, not EBITDA, since most fleets are leased rather than owned.
- **Adding back aircraft rent** normalizes comparisons across carriers with different owned-vs-leased fleet mixes.
- **P/E is often not meaningful given earnings volatility: fuel shocks and one-off disruptions regularly push airlines to loss-making quarters. Trading comparables** should be used cautiously because:
  - FSC and LCC business models differ meaningfully in margin structure and capital intensity.
  - Fuel-price and currency volatility complicate cross-border comparisons.
- **DCF is also used** but is complicated by high capex volatility and long aircraft-delivery cycles.

MULTIPLE	VALUE
Global Industry EV/EBITDA	~7.2x–8.3x
Global Industry P/E	~9.0x–13.5x
IndiGo EV/EBITDA	~9.9x–13x

Source: CSIMarket Q1 2026, Value Investing link

GROWTH DRIVERS

- **Rising travel penetration: India's per-capita flying rate remains low relative to population and GDP**, leaving **substantial headroom vs. mature markets**. link
- **UDAN regional connectivity:** Government scheme has **more than doubled operational airports (74→163 since 2014)**, opening routes via fare caps and viability-gap funding. link
- **Rising middle class:** A growing aspirational middle class is driving first-time flyers and trade-up from rail to air travel. link
- **Fleet expansion:** IndiGo and Air India have placed large aircraft orders; Airbus expects Indian carriers to triple combined fleets over the next decade. link
- **Traffic recovery: Domestic and international passenger traffic have surpassed pre-pandemic levels** for a fourth consecutive year of double-digit growth. link
- **Airport infrastructure:** New airports (Navi Mumbai, Mopa) and privatization of existing hubs are expanding capacity and easing congestion. link
- **Ancillary monetization:** Airlines increasingly monetize beyond the base fare via baggage, seat selection, co-branded cards, and loyalty programs. link
- **Cargo & e-commerce:** Express air-cargo volumes are rising sharply alongside e-commerce penetration in Tier-2/3 cities. link

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Company Name	Current Market Price (in relevant currency)	P/E	Market Cap (US$ Bn)
InterGlobe Aviation (IndiGo)	₹5,262	NA	23.2
SpiceJet	₹31.70	NA	0.2
Delta Air Lines	$55.65	7.8	36.3
Ryanair Holdings	$64.60	12.5	32.9
United Airlines Holdings	$90.77	9.1	29.4
IAG (British Airways/Iberia)	£3.97	6.2	22.0
Southwest Airlines	$29.67	45.2	15.3
Singapore Airlines	S$7.63	20.1	18.0
American Airlines Group	$12.65	15.2	8.4

RECENT & NOTEWORTHY DEVELOPMENTS

- **IndiGo mass-cancellation fallout:** Dec 2025 disruptions linked to new pilot duty-time norms triggered a CCI antitrust probe and a record **~₹22.2 Cr DGCA fine**, plus $55M+ in passenger compensation, preceding CEO Pieter Elbers' exit and Willie Walsh's appointment as new CEO. link
- **New entrants cleared:** MoCA cleared **3 new domestic carriers (Shankh Air, alhindair, FlyExpress)** in Dec 2025 to reduce market concentration after the IndiGo disruptions. link
- **Navi Mumbai Airport opens:** NMIA began commercial operations Dec 25, 2025, aiming to expand **Mumbai's passenger capacity from 5 to 15 crore annually**. link
- **Aircraft leasing reform:** The Protection of Interests in Aircraft Objects Act, 2025 (Cape Town Convention) took effect May 2025, strengthening India's aircraft financing framework. link
- **Fleet expansion continues:** IndiGo doubled its A350 order and Air India added Boeing 737 MAX orders; **Airbus expects Indian carriers to triple combined fleets over the next decade**. link
- **Air India leadership transition:** CEO Campbell Wilson announced departure by Sept 2026 amid ongoing post-merger integration of Vistara and Air India Express. link

KEY PERFORMANCE INDICATORS (KPIS)

- **Passenger Load Factor (PLF):** Seats filled as a % of capacity; the single most-watched airline efficiency metric.
- **RASK:**Revenue per Available Seat Kilometer; total revenue generated per unit of flying capacity.
- **CASK (ex-fuel):**Cost per Available Seat Kilometer; the ex-fuel variant isolates controllable operating costs.
- **On-Time Performance (OTP):** Share of flights departing/arriving within a defined window; drives satisfaction & slot efficiency.
- **Aircraft Utilization:** Average block hours an aircraft flies per day; higher utilization spreads fixed costs
- **Yield (Revenue per RPK):** Average fare revenue earned per revenue passenger kilometer flown.
- **Turnaround Time:** Time an aircraft spends on the ground between flights; critical to LCC unit economics.
- **EBITDAR Margin:** Profitability measure that adds back aircraft rent, enabling comparison across owned vs. leased fleets.

KEY BUSINESS METRICS

- **Available Seat Kilometers (ASK):** Total capacity offered (seats × km flown); the standard measure of airline output.
- **Revenue Passenger Kilometers (RPK):** Actual demand carried (paying passengers × km flown).
- **Fleet Size & Average Age:** Indicates scale, growth capacity, and maintenance cost profile.
- **Ancillary Revenue per Passenger:** Non-ticket revenue (baggage, seats, F&B, co-branded cards) per passenger carried.
- **Network Mix (Domestic vs. Intl %):** Share of capacity/revenue from domestic vs. international routes.
- **Fuel Cost as % of OpEx:** Tracks exposure to ATF price volatility, typically the largest single cost line.